Note 2. Income Taxes

The individual components of federal and state income taxes reflected in the Consolidated Statements of Income for 1999, 1998 and 1997 are stated in the table below.

Year Ended December 31,	1999	1998	1997
Current:			
Federal	$7,390,387	$725,466	$524,373
State	2,314,251	195,876	141,581
	$9,704,638	$921,342	$665,954
Deferred:			
Federal-Other	$89,444	$5,089,469	($661,330)
State-Other	(375,468)	1,442,801	(690,829)
Federal-Seabrook	(341,917)	(341,917)	(341,917)
State-Seabrook	(72,173)	(72,173)	(72,173)
	($700,114)	$6,118,180	($1,766,249)
Investment Tax Credits, Net	($317,877)	($385,805)	($140,379)
Total Provision	$8,686,647	$6,653,717	($1,240,674)
Allocated to Other Income	286,519	(560,431)	(715,629)
Charged to Operating Expense	$8,973,166	$6,093,286	($1,956,303)

The table below reconciles an income tax provision (benefit), calculated by multiplying income (loss) before federal income taxes (as reported on the Consolidated Statements of Income) by the statutory federal income tax rate to the federal income tax expense (benefit) reported on the Consolidated Statements of Income. The difference is represented by the permanent and timing differences for which deferred taxes are not provided for ratemaking purposes.

	1999		1998		1997	
(Dollars in Thousands)	Amount	%	Amount	%	Amount	%
Federal income tax provision at statutory rate	$9,439	35.0%	$6,342	35.0%	($569)	35.0%
Less (Plus) permanent differences in tax expense resulting from statutory exclusions from taxable income:						
Dividend received deduction related to earnings of associated companies	253	.9	40	.2	29	(1.8)
Equity component of AFDC	185	.7	151	.8	100	(6.2)
Amortization of equity component of AFDC on recoverable Seabrook investment	(160)	(.6)	(160)	(.9)	(160)	9.8
Other	(29)	(.1)	(28)	(.1)	(80)	5.1
Federal income tax provision before effect of timing differences	$9,190	34.1%	$6,339	35.0%	($458)	28.1%
Less (Plus) timing differences that are flowed through for rate-making and accounting purposes:						
Amortization of debt component of AFDC and capitalized overheads on recoverable Seabrook investment	(151)	(.6)	(151)	(.8)	(151)	9.3
Book depreciation greater than tax depreciation	(85)	(.3)	(88)	(.5)	(79)	4.8
Equity earnings in excess of (less than) dividends	(276)	(1.0)	201	1.1	217	(13.3)
State income tax liability deducted for federal income tax purposes	673	2.5	498	2.8	(186)	11.4
Reversal of excess deferred income taxes	167	.6	124	.7	173	(10.6)
Amortization of investment tax credits	350	1.3	241	1.3	217	(13.3)
Investment tax credits and excess deferred taxes flowed through	1,485	5.5	-	-	(184)	11.3
Other	27	.1	282	1.5	46	(2.9)
Federal income tax provision	$7,000	26.0%	$5,232	28.9%	($511)	31.4%

Under the federal income tax laws, the Company received investment tax credits (ITC) on qualified property additions through 1986. ITC utilized were deferred and are being amortized over the life of the related property. In 1999 the Company utilized the remaining available ITC of about $3.2 million to reduce its federal income tax obligation.

In 1999 the Company utilized its remaining tax net operating loss carryforwards of $66.6 million to reduce its regular income tax liability. Also in 1999, the Company utilized $4.2 million of federal and state alternative minimum tax credits to reduce its regular income tax liability. At December 31, 1999, the Company had federal alternative minimum tax credits remaining of approximately $3.6 million for the reduction of future tax liabilities. In 1998 and 1997 the Company utilized approximately $31.9 million and $21.5 million, respectively, of tax net operating loss carryforwards to reduce its regular income tax liability. These net operating losses were principally due to the Company deducting for income tax reporting purposes the costs of the purchased power contract terminations in 1995, which were deferred for financial reporting purposes (see Note 6).

In accordance with Statement of Financial Accounting Standards No. 109 "Accounting for Income Taxes" (FAS 109), the Company recorded net additional deferred income tax liabilities of approximately $16 million as of December 31, 1999 and $23 million as of December 31, 1998. These additional deferred income tax liabilities have resulted from the accrual of deferred taxes on temporary differences on which deferred taxes had not been previously accrued ($24.8 million and $32.6 million as of December 31, 1999 and 1998, respectively), offset by the effect of the 1987 change to lower income tax rates (reduced by the 1% increase in the federal income tax rate in 1993) that will be refunded to customers over time ($7.9 million and $8.6 million as of December 31, 1999 and 1998, respectively), and the establishment of deferred tax assets on unamortized investment tax credits ($900,000 as of December 31, 1999 and $1 million as of December 31, 1998). These latter amounts have been recorded in Other Regulatory Liabilities at December 31, 1999 and 1998. The accrual of the additional amount of deferred tax liabilities have been offset by regulatory assets which represent the customers' future payment of these income taxes when the taxes are, in fact, expensed. As a result of this accounting, the Consolidated Statements of Income are not affected by the implementation of FAS 109. The rate-making practices followed by the MPUC permit the Company to recover federal and state income taxes payable currently, and to recover some, but not all, deferred taxes that would otherwise be recorded in accordance with FAS 109 in the absence of regulatory accounting. The individual components of other accumulated deferred income taxes are as follows at December 31, 1999 and 1998:

	1999	1998
Deferred Income Tax Liabilities:		
Costs to terminate purchased power contracts	$42,793,031	$50,851,911
Excess book over tax basis of electric plant in service	35,395,877	53,209,720
Investment in jointly-owned companies	1,492,533	2,036,802
Deferred incremental ice storm costs	1,429,579	2,119,432
Deferred incremental Maine Yankee costs	-	697,692
Deferred demand-side management costs	94,013	318,927
Other	906,506	287,215
	$82,111,539	$109,521,699
Deferred Income Tax Assets:		
Deferred asset sale gain	$12,121,099	-
Deferred taxes provided on alternative minimum tax	3,627,596	7,314,289
Deferred state income tax benefit	3,317,437	2,881,091
Postretirement benefit costs other than pensions	3,090,544	2,362,537
Unamortized investment tax credit	941,134	1,017,397
Reserve for bad debts	719,981	719,981
Accrued pension costs	446,765	324,064
Deferred incremental Maine Yankee costs	453,414	-
Net operating loss carryforward	-	27,159,196
Reserve for Basin Mills investment	-	2,835,939
Other	1,566,679	1,132,700
	$26,284,649	$45,747,194
Total other accumulated deferred income taxes	$55,826,890	$63,774,505

As a result of the Company's generation asset sale to PP&L Global (see Note 10), the Company realized $1.5 million in income tax benefits associated with flowing through the unamortized deferred ITC associated with the generation assets sold and the reversal of the excess deferred income taxes associated with these assets. These income tax benefits have been recorded as a component of Other Income in the Consolidated Statements of Income in 1999.